

should enable more liquid markets much earlier in their developmental history.

Correlations between assets are also relevant in the evolution of an asset class. Recall from Chapter 6 that correlation refers to the prices of assets moving together. With the globalization of markets, correlations have largely increased as national economies are attached at the hip. Many still turn to gold in risk-off periods, when they want something safe from the groupthink trading in the bond and equity markets.

As of April 2017, the aggregate network value for cryptoassets was so small on a relative basis, storing less than \$30 billion in value, that they had yet to penetrate most traditional investor capital pools. Even though they are growing at an incredible clip, separation between cryptoasset markets and traditional investor capital pools still largely remains the case. As a result, cryptoassets currently have little correlation with traditional assets. However, we increasingly see signs of correlation between bitcoin and the broader capital markets (either negative or positive correlation), which makes sense as bitcoin is the most well-established cryptoasset and will likely be the first for traditional investors to venture into.

Over time, we expect increasing correlations (once again, either negative or positive) between cryptoassets and other asset classes, as overlap between the entities using these investments increases. The transition from an emerging asset class to a mature asset class involves being accepted by the broader capital markets.